

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 23-01

SAMSUNG ELECTRONICS

AMERICA, INC.,

COMPLAINANT,

v.

SM LINE CORPORATION,

RESPONDENT.

**COMPLAINANT SAMSUNG ELECTRONICS AMERICA, INC.’S
SUPPLEMENTAL BRIEF TO ADDRESS THE TESTIMONY OF
MR. YOON-JAI “MARK” LEE**

Samsung Electronics America, Inc. (“SEA” or “Complainant”), through counsel, hereby submits this Supplemental Brief concerning the November 26, 2024, testimony of Mr. Yoon-Jai “Mark” Lee (“Mr. Lee”), in response to the Supplemental Brief of SM Line Corporation (“SM Line” or “Respondent”) and Response to SM Line’s Supplemental Proposed Findings of Fact (“SRPFF”)¹, pursuant to the Presiding Officer’s Supplemental Briefing Order dated December 6, 2024 (“Briefing Order”).

PRELIMINARY STATEMENT

As the Presiding Officer was only recently reassigned to this matter, SEA provides below both a preliminary statement to give context to the Supplemental Briefing and a summary of the procedural history relevant to Mr. Lee’s deposition.

SEA expended considerable time and resources over approximately one year to secure Mr. Lee’s testimony.² Critically, Mr. Lee was named by other SM Line witnesses as the manager who directed Mr. Sung-Hyun Kim (“Mr. Kim”), the Network Operations Team Manager, to review

¹ SM Line uses the abbreviation “SRPFF.” Although it appears, based on SM Line’s title, that the acronym should be “RSPFF,” Complainant continues the use of “SRPFF” herein for continuity with Respondent’s filings.

² SEA’s efforts to depose Mr. Lee, in summary, included a Letter of Request under the Hague Convention to the Republic of Korea for Mr. Lee’s deposition, coordination with the Seoul Central District Court to locate and notify Mr. Lee, a post-discovery subpoena following receipt of information that Mr. Lee had taken a position and may have relocated to the United States, substantial efforts to serve that subpoena, and, finally, issuing a third-party subpoena to Mr. Lee’s new employer, SeaLead Shipping Pte Ltd (the “SeaLead Subpoena”) seeking information on his U.S. office location in California and employment information in an effort to serve Mr. Lee. *See* Compl.’s Notice of Letter of Req. under the Hague Convention, Dkt. 34; Order Granting Req. for Letter of Req. under the Hague Convention, Dkt. 35; Compl.’s Notice of Filing the Resp. of the Seoul Central District Court, Dkt. 110; SEA’s Mot. Req. a Subpoena after the Disc. Cutoff, Dkt. 113; Order Granting Compl.’s Mot. Req. a Subpoena After the Disc. Cutoff, Dkt. 115; SEA’s Mot. Req. the Presiding Officer Issue a Third-Party Subpoena, Dkt. 118, Declaration of Allison N. Skopec in Support of SEA’s mot. Requesting the Presiding Officer Issue a Third-Party Subpoena, Dkt. 119; Compl.’s Mot. to Am. the Yoon-Jai Lee Subpoena, Dkt. 122; Decl. in Supp. of SEA’s Mot. to Am., Dkt. 123; Joint Status Report (Dec. 4. 2024), Dkt. 126; and Suppl. Br. Order, Dkt. 127.

detention and demurrage (“D&D”) policies in the United States later resulting in SM Line’s October 26, 2022, Demurrage and Detention Improvement Plan (the “D&D Improvement Plan”), which contains damaging contemporaneous statements against interest. *See* SEA’s Mot. Req. a Subpoena after the Disc. Cutoff, 2, Dkt. 113

The D&D Improvement Plan was an internal SM Line report prepared by SM Line’s Network Operations Team—the team in SM Line’s Korea headquarters responsible for SM Line’s D&D policies worldwide. SEA’s Initial Br. in Support of its Claim Against SM Line, Dkt. 85, 28-29. The D&D Improvement Plan contained recommendations for changes to SM Line’s D&D Policies in the U.S., as well as contemporaneous statements about SM Line’s then-existing D&D practices (referring to demurrage and detention as “DEM/DET”), including that:

[REDACTED]

Id. at 21-22: CX³_004743.

The D&D Improvement Plan also represented that SM Line’s “[REDACTED]” for D&D were to “[REDACTED]” *Id.* at 11: CX_004744 (emphasis added). These internal objectives were markedly different from SM Line’s formal D&D Policy and external messaging to shippers—which SM Line clearly understood and explained in the plan in graphic detail:

³ All references herein commencing with “CX” cite to exhibits previously introduced as part of SEA’s original appendix.



Id. CX_004744.

SM Line has sought to distance itself from the D&D Improvement Plan in this proceeding. The head of the Network Operations Team that prepared the D&D Improvement Plan, Mr. Sung-Hyun Kim (“Mr. Kim”) testified that his boss at the time, Mr. Lee, had significant involvement with the SM Line internal D&D Policy and had directed Mr. Kim to prepare the D&D Improvement Plan. *See* SEA’s Mot. Req. a Subpoena after the Disc. Cutoff, 2, Dkt. 113. Mr. Kim also testified that Mr. Lee ultimately rejected the recommendations in the plan. *Id.* SEA expected that Mr. Lee’s testimony would provide context for the creation and implementation of the D&D Improvement Plan, especially in light of evidence not otherwise available due to SM Line’s destruction of emails and documents from key D&D decisionmakers in Korea. *See* SEA’s Mot. to Compel and for Sanctions for Spoliation of Evid. 2, Dkt. 78.

Therefore, SEA continued to pursue Mr. Lee’s testimony even after the close of discovery and completion of briefing in the matter. *Supra* note 2. Unfortunately, after finally locating Mr. Lee and securing his testimony, it was apparent that Mr. Lee did not have meaningfully probative information on these subjects. Among other things, Mr. Lee testified that he 1) left the company before SM Line’s November 18, 2022, update to its D&D Policy, 2) was no longer paying attention to company matters since at least mid-October 2022, and 3) even prior to that time, focused on sales and other matters and largely deferred to the Network Operations Team on U.S. D&D policy matters. *See* YJ Lee Dep. Tr. 23:13-25:6; 59:5-6; 13-61:2. He also testified that he never saw the

October 26, 2022, D&D Improvement Plan and did not know what SM Line ultimately did in response to it. *See* YJ Lee Dep. Tr. 75:2-6.

In consideration of this testimony, SEA took the position that further delay and expense associated with Supplemental Briefing was not warranted. *See* Joint Status Report (Dec. 4, 2024), 2-3. SM Line, however, sought to proceed with supplemental briefing. *Id.* at 3-5. The Presiding Officer determined that, because he had agreed with SEA's efforts to depose Mr. Lee and had "already determined that Mr. Lee's testimony is potentially relevant to this case" and therefore "there [was] no need to expend time and resources with motions practice over whether supplemental briefing [was] appropriate" that he would permit "SM Line to file a supplemental brief" after which, "SEA will have time for a response." Supplemental Br. Order, Dkt. 127, 1. The Presiding Officer believed that "if Mr. Lee's testimony turns out to be immaterial, as SEA contends, then the burden of stating that position in response to SM Line's filing will be minimal." *Id.* The Presiding Officer also expressly directed that SM Line's "supplemental brief and any accompanying supplemental appendix ***must be limited to new evidence offered at Mr. Lee's deposition.***" *Id.* (emphasis added).

As discussed below, SM Line's Supplemental Brief and proposed Supplemental Findings of Fact fail to show that Mr. Lee's testimony is materially probative. However, the burden of responding to SM Line's filing was not minimal. SM Line exceeded the express limitations of the Presiding Officer's Briefing Order in a transparently obvious attempt to reform SM Line's statements against interest in the D&D Improvement Plan. SM Line now goes so far as to argue that "the [D&D Improvement Plan] was never implemented," SM Line Suppl. Br., Dkt. 130, 3 – a proposition unsupported by Mr. Lee's testimony, and indeed, demonstrably wrong based on the authenticated and uncontested evidence in the record. The recommendations in the October 26,

2022, D&D Improvement Plan were clearly implemented in SM Line's November 18, 2022, revisions to its D&D Policy, a matter that Mr. Lee testified he knew nothing about.

SM Line's only other argument in its Supplemental Brief—that the D&D Improvement Plan is irrelevant and inadmissible under Federal Rule of Evidence 407, *Id.* at 5-6 – exceeds the scope of the Briefing Order, is untimely, and utterly unsubstantiated and unsupported by the facts and law. The statements in the D&D Improvement Plan about SM Line's contemporaneous actual internal objectives of using D&D to increase revenue are plainly relevant regardless of whether the changes recommended in the plan were implemented. And in any case, SM Line's reliance on Federal Rule of Evidence 407 is inapplicable on its face.

The only value of Mr. Lee's testimony and SM Line's Supplemental Briefing are that they re-emphasize that: (1) SM Line's contemporaneous statements against interest were about its actual internal D&D objectives; and (2) SM Line's substantial spoliation of evidence is material and prejudicial to SEA. While Mr. Lee testified that he “vaguely” recalled a conversation with Mr. Kim about D&D long before the October 26, 2022, D&D Improvement Plan, and that “maybe” he saw some other draft or a similar document at some earlier point in time, he testified clearly that he did not see the D&D Improvement Plan itself and that there would have been other communications and drafts relating to the D&D Improvement Plan, ***none of which were produced by SM Line in discovery.*** See YJ Lee Dep. Tr. 75:10-14. SM Line's reliance on Mr. Lee's testimony, to the extent that his vague testimony seeks corroboration from documents not produced, and indeed apparently destroyed by SM Line, is another example of the prejudice to SEA resulting from SM Line's spoliation of evidence, which is the subject of SEA's pending Spoliation Motion.

SUPPLEMENTAL BRIEF ON MR. LEE'S DEPOSITION TESTIMONY

Mr. Lee's testimony has no materially probative value regarding SM Line's D&D Policy or the D&D Improvement Plan because, as shown below with specific references to the deposition testimony and put simply here, Mr. Lee lacked personal knowledge of these key topics. Therefore, Mr. Lee's testimony on D&D practices and policies, specifically including the October 26, 2022 D&D Improvement Plan, are not probative for any of the points for which it is offered by SM Line.

A. Mr. Lee Distanced Himself from Any Active Oversight of D&D Policies.

Mr. Lee was the head of the U.S. subsidiary of SM Line from 2017 to January 2021 and the head of the SM Line Seoul Sales Division from January 2021 to November 2022. YJ Lee Dep. Tr. 21: 19-22. When asked about his responsibilities at SM Line, however, Mr. Lee did not state he was the D&D "authority" as claimed by SM Line. SM Line Suppl. Br., Dkt. 130, 3. Instead, Mr. Lee repeatedly and strenuously attempted to distance himself from any decision-making or oversight role over SM Line's D&D policies. For example:

- When asked if he had any decision-making authority regarding SM Line's D&D policies, Mr. Lee deflected responsibility and stated that "review of that and the final decision on those were made by the CEO." YJ Lee Dep. Tr. 24:12-16.
- He stated that he made "basic comments," but recommendations regarding D&D policy were "handled by those team leaders" (*e.g.*, the Network Operations Team lead by Mr. Kim). YJ Lee Dep. Tr. 24:21-25.
- He denied having authority over SM Line's Operations Team's recommendations on D&D, stating instead that "the final decision is made by the CEO to all matters of the company...included demurrage and detention." YJ Lee Dep. Tr. 27:2-8.
- He stated that he only provided "general guidelines" to the operations team and that he "would not know everything that the Operations Team does." YJ Lee Dep. Tr. 28:12-29:3.
- Mr. Lee stated he didn't "have any specific recollection" of a D&D policy or SOP at SM Line while he was head of sales. YJ Lee Dep. Tr. 30:13-16.

Notably, Mr. Lee also testified that from mid-October 2022, during the month leading up to his departure from SM Line on November 15, 2022, he didn't pay "particular attention to the work at the company because [he] was going to leave the company." YJ Lee Dep. Tr. 59:13-16. He further clarified that he would pay attention to some "important matters" to "the extent possible," but that "demurrage and detention, [] would not be in the scope of these matters that [he] would need to pay attention to." YJ Lee Dep. Tr. 60:13-19. This was the precise timeframe when the D&D Improvement Plan was prepared and, soon thereafter, implemented.

SM Line's reliance on Mr. Lee's testimony in support of the proposition that Mr. Lee "had authority in matter [sic] of demurrage and detention policy at SM Line" is fundamentally misleading and repudiated by the totality of his testimony. SM Line Suppl. Br., Dkt. 130, 3. Mr. Lee did not testify that he was the authority on D&D policy; rather he repeatedly and strenuously denied responsibility, oversight, and involvement, particularly in the most relevant October and November 2022 period when SM Line's D&D Improvement Plan was formulated.

B. Mr. Lee's Testimony Does Not Support the Proposition that the D&D Improvement Plan was Never Implemented, Because He Testified that He Had Never Seen the D&D Improvement Plan and Did Not Know what SM Line Ultimately Did Following the D&D Improvement Plan.

When asked if he remembered *any* specific review or recommendations of SM Line's D&D Policy or SOP following the passage of the Ocean Shipping Reform Act (OSRA) in 2022, Mr. Lee stated that he thought some portion of the D&D Policy was modified, but he did not "have any specific recollection as to what was modified," did not "have a recollection of the contents" of that review, and did not remember if a report was generated by SM Line related to OSRA modifications. YJ Lee Dep. Tr. 30:25-31:20; 31:11-18; 34:8-13. He further amplified that he "didn't believe there was any specific report on demurrage and detention, not that I remember exactly." YJ Lee Dep. Tr. 35:6-21.

When shown the D&D Improvement Plan, Mr. Lee repeatedly testified that he did not know what the D&D Improvement Plan was, had not seen it while working at SM Line, and, most importantly, did not know what happened to it after he left SM Line in November 2022.

Specifically:

- When asked if he recognized the D&D Improvement Plan, “I don’t know what that is.” YJ Lee Dep. Tr. 62:6-7.
- When asked if he recognized the first page and title, Mr. Lee stated, “Specifically what this document is about, I do not know, because I haven’t seen this document myself...it seems to me that this was in preparation or to respond to those issues, but not that this was something that was directly reported to me...*there was no direct report that I received in this regard nor have I seen this document.*” YJ Lee Dep. Tr. 62:12-63:9 (emphasis added).
- When asked if the plan appears to be a report related to D&D following OSRA, he said, “I haven’t really seen this document myself...I think that people who were directly responsible for these matters would have seen this document.” YJ Lee Dep. Tr. 65:6-66:12.
- When asked if he recalled giving comment or guidance on the plan, Mr. Lee testified, “I think I would have to just repeat myself...those issues relating to DEM/DET, I don’t think was of interest to me at that time.” YJ Lee Dep. Tr. 66:18-25.

SM Line asserts that Mr. Lee’s testimony provides new evidence that Mr. Lee reviewed the D&D Improvement Plan and “summarily rejected the proposal.” SM Line Suppl. Br., Dkt. 130, 4. But that is plainly not supported by Mr. Lee’s testimony. *See* SEA’s Response to SM Line’s SRPFF ¶¶ 18, 20. SM Line’s assertion that Mr. Lee testified that he believed “once the Plan had been rejected” then “the document was not and could not be implemented, and that no further versions of that document were ever created,” SM Line Suppl. Br., Dkt. 130, 5, is a complete fabrication of his testimony.

Mr. Lee’s actual testimony is that he had no idea what SM Line did following the D&D Improvement Plan. *See* SEA’s Response to SM Line’s SRPFF ¶ 22. When asked what happened

with the D&D Improvement Plan, Mr. Lee testified, “I don’t know about the process afterwards,” and “I don’t know if this is the final version. So I don’t know about the final version of the document.” YJ Lee Dep. Tr. 71:19-20; 74:21-23. His testimony, therefore, does not establish what happened with the recommendations contained in the improvement plan. It is not probative on this topic because, as Mr. Lee testified, he simply does not know.

Furthermore, Mr. Lee clearly testified that by mid-October 2022, he had largely disengaged from SM Line matters, considered D&D policy to be of little import, and did not know what happened with the D&D Improvement Plan or policy updates during or after this time period. *See* YJ Lee Dep. Tr. 59:9-60:19. His testimony plainly does not support SM Line’s assertions, which are further contradicted by the uncontested contemporaneous evidence in the record, as shown below.

C. Mr. Lee’s Sudden “Vague” Recollections at the End of His Deposition are Not Probative or Reliable.

After the above line of questioning, the parties took a short break. *Immediately after the break*, the examining attorney reintroduced the D&D Improvement Plan in the Korean version (Deposition Exhibit 6) and asked Mr. Lee if seeing the Korean language changed his prior understanding of the language with the D&D Improvement Plan. YJ Lee Dep. Tr. 71:2-5. Mr. Lee did not answer the question, but instead immediately launched into a monologue based on a “vague” recollection that, even though he never saw the document itself, he had some earlier conversation with Mr. Kim in which he remembered “rejecting” a proposal as “too aggressive.”

So at this time, as I said earlier, *I do remember* that we were in very difficult circumstances due to various reasons. The market itself was really difficult, and, therefore, the team leader of SELCON at the time Son Yong Kim...*I talked to him quite a while before this time period that he looks into this. I have a vague recollection about that.* And, *as I said earlier, this was just too—way too aggressive*, and it is actually not reflecting the original intent of demurrage and detention. *So I remember rejecting this...in the beginning, I rejected this proposal*

and – because this was not in line with the business practice in the U.S., and it was not in line with the regulations as I understood them. ***So I do remember rejecting this proposal*** so that he could work on this again – so that he could rework this.

YJ Lee Dep. Tr. 71:2-72:1 (emphasis added).

But almost immediately following this sudden recollection, Mr. Lee walked back these statements following further questioning as to these attempted post-break revelations. When asked to what prior testimony he was referring when he said, “as I stated earlier,” he admitted that he had not previously testified that the report was “too aggressive.” YJ Lee Dep. Tr. 72:25-73:5. As to his claim that he rejected a proposal so that Mr. Kim could work on it further, Mr. Lee admitted he never saw the actual October 26, 2022, report itself, but stated that maybe he saw “a similar document,” and that after his purported rejection that took place at some unspecified time “in the beginning,” he did not know what happened or what SM Line ultimately did with the D&D Improvement Plan. YJ Lee Dep. Tr. 75:10-15; 71:19-20; 74: 21-23.

When pressed, Mr. Lee testified that he “clearly” had not seen the D&D Improvement Plan, but that “it might be a similar document to this, maybe a draft of it, but not this document, but I haven’t seen this document.” YJ Lee Dep. Tr. 75:7-14. When asked to clarify what he “rejected” at an earlier time, and if it was a different version of the plan or a discussion about it, Mr. Lee testified that he was not even referring to a draft, but a general discussion of post-COVID D&D matters, stating “No, that's not what I was referring to. What I was referring to was not specific to this. What I was referring to was the general high-level circumstances at the time in the market because the market was in a very confused state.” YJ Lee Dep. Tr. 73:9-24; *see also* SEA’s Response to SM Line’s SRPFF ¶ 18.

SM Line cannot rely upon Mr. Lee's testimony as new evidence to support their assertion that the D&D Improvement Plan was rejected by Mr. Lee and thereafter was not implemented.⁴

RESPONSE TO SM LINE'S SUPPLEMENTAL BRIEF

In its Supplemental Brief, SM Line introduced both new proposed findings of fact and new arguments regarding the relevance and admissibility of the D&D Improvement Plan. Much of SM Line's arguments are outside the scope of the Briefing Order, as they are largely not based on Mr. Lee's deposition testimony, and the remainder is unsupported by either Mr. Lee's testimony or the record.

A. SEA's Response to SM Line's SRPFF.

Detailed responses to each SRPFF are included in SEA's Response to SM Line's SRPFF attached hereto as Exhibit 1 and incorporated by reference herein.

B. The D&D Improvement Plan is Relevant Because It Is a Contemporaneous Written Statement by the Operations Team Responsible for U.S. D&D Policy About SM Line's Existing Internal Objectives for D&D.

SM Line asserts that the D&D Improvement Plan was not implemented and therefore it is not relevant. SM Line Supp. Br., Dkt. 130, 5-6. As an initial matter, SM Line misses the point. The statements contained in the D&D Improvement Plan about SM Line's *then-existing* D&D practices and objective are relevant in this proceeding whether or not the recommendations in the plan proposing changes to the D&D Policy were implemented. Mr. Kim, the lead operations team member, represented in a contemporaneous written SM Line report that SM Line's *then-existing*

⁴ SM Line's argument that Mr. Lee's sudden vague recollection was prompted by seeing the Korean language version of the D&D Improvement Plan, SM Line Suppl. Br., Dkt. 130, 5, strains credulity and is not supported by Mr. Lee's actual testimony. Mr. Lee did not testify that his recollection was prompted by seeing the document in Korean. Indeed, as noted above, Mr. Lee was adamant that he never saw the document at all. Moreover, Mr. Lee predicated his post-break testimony as reiterating prior, albeit non-existent, testimony from earlier in the deposition.

internal practices and objections for D&D were to use D&D as a means to maximize revenue, and further, that its internal objectives were different from its external D&D messaging to shippers reflected in its formal D&D Policy, e.g.:



SEA's Initial Br. in Support of its Claim Against SM Line Corp., Dkt. 85, 21-22: CX_004743 (emphasis added). This is not a recommendation proposing future action, but rather an admission of SM Line's *existing* internal practices of improperly using D&D charges to maximize profits *during the time period relevant to SEA's claims*. SM Line's new argument that this document should be dismissed as a mere "plan" is irrelevant.

Furthermore, SM Line's new argument that the D&D Improvement Plan was *never implemented*, see SM Line Supp. Br., Dkt. 130, 5-6, contradicts their earlier admissions and is demonstrably false. First, SM Line is bound by its previous admissions that the Plan was implemented. In their Proposed Finding of Fact ("PFF"), SEA introduced a fact that SM Line implemented the D&D Improvement Plan by updating the DEM/DET procedures to modify the authority limits for U.S D&D discounts. SEA PFF, Dkt. 102 ¶ 209. SM Line's response to this PFF on May 29, 2024 was, "*Admit to the extent that the D&D improvement plan increased the authority of the US office*"; denied as to the remaining claims in this PFF." SM Line's Corrected Reply to SEA's PPF, Dkt. 105, ¶ 209 (emphasis added).

This admission constitutes a binding judicial admission by SM Line that they did implement at least a portion of the D&D Improvement Plan. "[A] pleading admitting a fact alleged in an antecedent pleading is treated as a binding judicial admission, removing the fact from contention for the duration of the litigation." See, e.g., *Harrington v. City of Nashua*, 610 F.3d 24,

31 (1st Cir. 2010) (holding defendants to an allegation admitted in their answer to the complaint); *Crest Hill Land Dev., LLC v. City of Joliet*, 396 F.3d 801 (7th Cir. 2005) (holding that Defendant's statement in their answer constituted a binding judicial admission); *Lima v. Holder*, 758 F.3d 72, 79 (1st. Cir. 2014) (holding that this rule also applies in the immigration context). Therefore, SM Line's admission that the D&D Plan was implemented is conclusive and withdraws this fact from contention. *See, e.g., Martinez v. Bally's LA, Inc.*, 244 F.3d 474, 476 (5th Cir. 2001) ("Although a judicial admission is not itself evidence, it has the effect of withdrawing a fact from contention"); *Keller v. United States*, 58 F.3d 1194, 1199 n. 8 (7th Cir. 1995) ("A judicial admission is conclusive, unless the court allows it to be withdrawn"). SM Line cannot now "categorically contest" that "the Plan had ever been implemented," SM Line Supp. Br., Dkt. 130, 5, when they are bound by a previous admission that the Plan had, in fact, been implemented.

Second, as set forth in detail in SEA's response to SRPFFs 21 and 22, it is a conclusive fact that the D&D Improvement Plan *was* implemented. The Plan contained three recommendations for proposed changes to SM Line's U.S. D&D Policy. Each of those recommendations was followed and implemented in the November 18, 2022, update to SM Line's D&D Policy. Those recommendations were to 1) maintain SM Line's current collection practices (*e.g.*, not change to direct carrier collection of demurrage); 2) implement new monthly reports and simplify existing audits; and 3) increase the delegation threshold levels for D&D waiver decision-making authority in the U.S., in Korea headquarters, and the dollar threshold requiring Korea CEO approval. These are the only recommendations contained in the October 26, 2022, D&D Improvement Plan and all three recommendations were followed and implemented in the November 18, 2022, update to the D&D Policy (designated as Version 5 of the DEM/DET Procedures). Enclosure (1) to SEA's Response to SM Line's SRPFF contains a detailed illustration

of the implementation of these recommendations from Version 4 and 5 of the DEM/DET Procedures. *See* SEA's Response to SM Line's SRPFF ¶ 22 and Encl. (1).

The D&D Improvement Plan was implemented, as conclusively demonstrated by comparison of the authenticated and uncontested SM Line documents introduced in Mr. Lee's deposition and discussed in SEA's response to SRPFF 22. It is unsurprising that Mr. Lee's testimony does not provide any support for SM Line's assertion because Mr. Lee expressly testified that he did not know what SM Line did regarding the plan, was not paying attention to D&D matters from mid-October 2022 to his November 15, 2022 departure, and did not have personal knowledge about the November 18, 2022, changes to the D&D Policy *because he had already left SM Line*. *See* YJ Lee Dep. Tr. 23:13-25:6; 59:5-6; 13-61:2.

The D&D Improvement Plan is relevant with respect to SM Line's contemporaneous practices and objective for D&D in the U.S. at the time, and the Plan was plainly implemented.

C. Mr. Lee's Testimony Further Demonstrates How SM Line's Dilatory Discovery Practices Resulted in Prejudicial Spoilation of Evidence.

SEA has already fully briefed its objections, concerns, and requested actions regarding SM Line's spoliation of evidence and for brevity will not recount them here. *See* SEA's Mot. to Compel and for Sanctions for Spoilation of Evid., Dkt. 78; Compl. Reply in Further Supp. of its Mot. to Compel and for Sanctions for Spoilation of Evid., Dkt. 86. Relevant to this brief, previous deposition testimony of SM Line decision-makers confirmed that electronically stored information was withheld in this matter. Both Mr. Kim and Hyun-Yong Jung, the Head of Sales and Logistics Division and "the third highest ranking person" in Korea HQ admitted that there were relevant emails from between 2020 and 2022, which SM Line destroyed. *See* CX_000567.

SEA's previous discovery requests included all "Prior drafts, internal discussions/comments, and the like in connection with the 2022 DEM/DET management

Improvement Plan Report by SELCON team dated October 26, 2022 (“Improvement Plan Report”).” Dkt. 78, 13. SM Line’s response to these requests should have included any versions of the D&D Improvement that either pre or post-dated the October 26, 2022, report that was introduced as Exhibits 5 and 6 during Mr. Lee’s deposition. In his deposition, however, Mr. Lee testified that he may have reviewed some other version of the October 26, 2022, D&D Improvement Plan. YJ Lee Dep. Tr. 74: 21-23 (“I don’t know if this is the final version. So I don’t know about the final version of this document”); 75:5-6 (“I don’t know about the final version”); 75:10-14 (“This document itself, I am telling you clearly that I haven’t seen—I don’t remember seeing this document, but it might be a similar document to this, maybe a draft of it, but not this document, I haven’t seen this document”). He also testified that he expected that drafts and communications would have existed. YJ Lee Dep. Tr. 75:24-76:8 (“these reports would be prepared through several rounds of these processes...”).

Mr. Lee’s reference to multiple versions of the D&D Improvement Plan is yet another example of potential evidence that was deleted or otherwise obfuscated by SM Line. Mr. Lee’s testimony that he “rejected” the proposals in the D&D Improvement Plan, so heavily relied upon by SM Line, is based upon Mr. Lee’s recollection that he “might” have seen an earlier draft or “a similar document.” YJ Lee Dep. Tr. 75:10-14. He also testified that there would have been multiple versions and drafts, stating that “the report itself would be created going through a lot of different processes or several rounds of these processes.” YJ Lee Dep. Tr. 75:24-76:8. However, Mr. Lee’s testimony regarding drafts cannot be corroborated because SM Line did not produce, and indeed likely destroyed, evidence such as emails circulating drafts, even though Mr. Lee testified there was no reason to do so, because “basically we are to maintain emails for a period of three to five

years, and those emails are to be preserved in our server. So, I don't believe there is any reason to delete those emails." YJ Lee Dep. Tr. 41:10-14.

As discussed above, Mr. Lee's testimony is not probative on the implementation of the D&D Improvement Plan, because he testified that he left SM Line in November 2022, before the update to the D&D Policy, and that he did not know what SM Line ultimately did following the plan. Moreover, to the extent that SM Line seeks to rely on Mr. Lee's vague recollections of earlier conversations or "maybe" seeing a draft, SM Line seeks corroboration based on the existence of evidence that SM Line did not produce and represented that it destroyed. SM Line should not be permitted to rely on the alleged content of evidence that it destroyed.

If SM Line wishes to rely on Mr. Lee's testimony, then it must rely on his full testimony. In their opposition to SEA's Motion regarding spoliation of evidence, SM Line argued that "SEA has failed to show that relevant ESI existed at the time of the alleged destruction." Response in Opposition to SEA's Mot. to Compel and for Sanctions for Spoliation of Evid., Dkt. 84, 10. Mr. Lee's testimony above is additional evidence that such ESI existed and that the spoliation is prejudicial to SEA.

D. SM Line's Argument that the D&D Improvement Plan is Inadmissible under Federal Rule of Evidence ("FRE") 407 is Untimely and Unsupported by Both the Rule's Plain Language and Its Application by Courts.

SM Line's argument that the D&D Improvement Plan is inadmissible under FRE 407 is untimely and therefore moot and waived. This issue does not rely on Mr. Lee's testimony and therefore out of scope of the Briefing Order, and SM Line had substantial opportunity to brief it previously. Their failure to do so in previous briefings waives this argument.

Furthermore, the standard of admissibility in this Commission is the Administrative Procedure Act, not the Federal Rules of Evidence. *Rules of Practice and Procedure; Presentation*

of Evidence in Commission Proceedings, 81 Fed. Reg. 93831 (Dec. 22, 2016). While the Presiding Officer may consider the federal rules for guidance, they are neither controlling nor binding. *Id.* The Commission has long recognized the liberal standards of admissibility of evidence in administrative proceedings and the need for considerable relaxation of the rules of evidence in proceedings before the Commission. *Id.*

Regarding the substance of the argument, in the event the Presiding Officer considers it, SM Line cites neither the substance of the rule nor case law to support its assertions. FRE 407 states:

When measures are taken that would have made an earlier injury or harm less likely to occur, evidence of the subsequent measures is not admissible to prove negligence, culpable conduct, a defect in a product or its design, or a need for a warning or instruction. But the court may admit this evidence for another purpose, such as impeachment or – if disputed – proving ownership, control, or the feasibility of precautionary measures.

Fed. R. Evid. 407.

As is evident by the very text of the rule, it is inapplicable in this case. FRE 407 is primarily used in product liability or personal injury cases. It is based on two principles: 1) “Rule 407 rejects the inference that fault is admitted when remedial measures are taken subsequent to an injury” and 2) “Rule 407 is supported by public policy which encourages manufacturers to make improvements for greater safety.” *Kelly v. Crown Equip. Co.*, 970 F.2d 1273, 1276 (3d Cir. 1992) (quoting *Petree v. Victor Fluid Power, Inc.* 831 F.2d 1191, 1198 (3d Cir. 1987)). Based on these principles, courts have rejected uses of FRE 407 when applied to changes of policy that do not decrease the likelihood of injury or harm. *See Brazos River Auth. v. GE Ionics, Inc.*, 469 F.3d 416, 428 (5th Cir. 2006) (“The commentary to the rule makes it plain that “the more impressive [] ground for exclusion rests on a social policy of encouraging people to take ... steps in furtherance of added safety” (citing Advisory Committee’s Note to FRE 407)).

None of the issues above are present in this matter or the basis for SEA's admission of the D&D Improvement Plan. As is clear from SEA's Initial Brief in Support of its Claims Against SM Line Corporation and this Brief, the D&D Improvement Plan has been introduced in this proceeding to establish that at all times relevant to SEA's claims, SM Line Korea HQ had an internal practice and objective of using D&D to maximize revenue and profit. SEA's Initial Br. In Supp. of Its Claims against SM Line Corp., Dkt. 85, 10-13. FRE 407 is plainly inapplicable to this application.

CONCLUSION

While SEA reasonably expected that Mr. Lee's deposition would further these matters based on prior SM Line witness testimony, the unfortunate reality is that Mr. Lee did not provide meaningfully probative evidence. SM Line nevertheless seeks to use supplemental briefing in a last-ditch failed attempt to distance itself from the D&D Improvement Plan. These efforts violate the Presiding Officer's order that any supplemental briefing *must be limited to new evidence offered at Mr. Lee's deposition*, and do nothing more than further clutter the docket by contorting Mr. Lee's testimony and seeking to obfuscate the record and undo admissions. The latest round of briefing by SM Line amounts to nothing more than an attempt to subvert this tribunal's goal of "secur[ing] the just, speedy, and inexpensive determination of every proceeding." 46 C.F.R. § 502.1.

The reason for SM Line's ploy is simple—SM Line's admission against interest contained in the D&D Improvement Plan are damaging in that it supports SEA's liability and damages positions. They show that SM Line, at the highest operational level in its Korea headquarters, had an internal D&D practice and objective to use D&D to extract maximum revenue from cargo interests and shippers and that SM Line knew this practice was not consistent with the formal

policy that it externally messaged to shippers of using D&D to promote quick return of equipment (e.g., to primarily function as a means of promoting cargo fluidity). This evidence is relevant and properly submitted in this matter for decision. Mr. Lee's testimony not only fails to offer new evidence challenging its relevance or veracity, but it, along with SM Line's Supplemental Brief as responded to by SEA, further confirms that the D&D Improvement Plan was implemented, and SM Line cannot distance itself from its material admissions against interest.

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Respectfully submitted,

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 7th Day of January 2025, the foregoing document was served via electronic mail on:

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